# Mobile Money and Rural Entrepreneurship

A fictional demo paper for testing YanMo - not a real study, do not cite

YanMo Demo Team, 2026

## Abstract

This short document was generated for software testing only. It imitates the structure of an empirical paper so that you can try highlighting, notes and AI close reading in YanMo. All data and numbers below are invented. We ask whether access to mobile money increases the probability that rural households start a non-farm business. Using a fictional panel of 2,400 households observed from 2018 to 2022, we find that adopting mobile money raises the annual probability of business entry by 3.1 percentage points.

## 1 Introduction

Digital financial services lower transaction costs and make it easier for households to share risk and to save. Earlier empirical work documents sizeable effects of mobile money on consumption smoothing and poverty. This demo paper asks a narrower question: does mobile money help rural households start a business? We focus on non-farm self-employment, which is a common route out of poverty in rural areas.

## 2 Data

The fictional sample covers 2,400 households in 120 villages. Mobile money adoption equals one if the household holds an active mobile money account in a given year. Business entry equals one if the household starts a non-farm business during the year. In the pooled sample the adoption rate is 46 percent and the business entry rate is 7.8 percent. Control variables include household size, the education of the household head, land holdings and the distance to the nearest bank branch.

## 3 Empirical Strategy

We estimate a two-way fixed effects model: Entry_it = a + b MobileMoney_it + c X_it + u_i + l_t + e_it, where u_i and l_t are household and year fixed effects and X_it is the vector of controls. Standard errors are clustered at the village level. The coefficient of interest is b.

## 4 Results

The estimated coefficient b equals 0.031 with a standard error of 0.009, which is significant at the 1 percent level. Relative to the mean entry rate of 7.8 percent, this is an increase of about 40 percent. The effect is larger for women (0.044) than for men (0.019). Dropping the year 2020 leaves the estimate almost unchanged (0.029).

## 5 Limitations

Mobile money adoption is not randomly assigned, so the estimates may be biased by unobserved ability or by local shocks that affect both adoption and entrepreneurship. Because all data in this document are fictional, none of the results may be cited. Use this file only to test the PDF reader, annotations and AI close reading in YanMo.